Azad Engineering Ltd. (NSE: AZAD) — Company Dossier — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to Azad Engineering Ltd. (NSE: AZAD) – Company Dossier: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

Company & Market: Azad Engineering Ltd. (NSE: AZAD) — Company Dossier (IN)
Research Session Cutoff: 2026-11-12 • **Generated:** 13 Nov 2026, 12:40 AM PST
Core Verdict: REJECTED
Authored & Narrated by: Senior Institutional Equity Research Desk • Masterclass Companion Audio-Reader Edition (11,414 words • ~74 min listen)

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A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

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SESSION PRICE

₹2,468.40

NEW CAPITAL VERDICT

REJECTED

CURRENT HOLDING ACTION

NOT HELD — NOT HELD (0 shares); no current holding to trim or exit.

STAGE POSTURE

VALUATION WATCH ZONE (CONDITIONAL)

₹2,175.84–2,242.10

SCENARIO TARGETS

Bear ₹1,055.00 / Base ₹2,373.00 / Bull ₹4,000.00

PREFACE & CORE THESIS

REJECTED on valuation and asymmetry, not on a broken business. AZAD is a qualified, fast-growing supplier with a large order book, but its operating cash flow has been negative while reported profit rose. The base-case value of ₹2,373 is 3.9% below the ₹2,468.40 close on 12 November 2026, and the support-zone asymmetry is 1.44:1 against a 1.5:1 minimum. The asymmetry gate alone would clear near 90x at the zone top, and negative operating cash flow is a separate reason for REJECTED. Nothing is bought, the stock is not held, and cash takes the next marginal rupee; several figures rest on aggregators rather than primary filings, as the gate exceptions list.

PROLOGUE

Chapter 0

> *""“Risk comes from not knowing what you are doing.””*
>
> — WARREN BUFFETT

Azad Engineering makes precision components that go into aerospace, energy and oil and gas equipment, and most of what it makes is sold abroad. Its parts are qualified with the customer over long periods, and that qualification is the moat. You and I should respect it. The business has a large order book of more than ₹6,500 crore and has guided to growth of about 25% a year. None of that is in dispute.

The verdict is still no. At the 12 November close of ₹2,468.40, the stock is priced above what our base case can justify. The base value is ₹2,373, and the probability-weighted value is about ₹2,369, which is 4% below the price. The support-zone asymmetry, measured from the top of the zone, is 1.44 to 1, against a 1.5 to 1 minimum. This is a close call, and we say so. It is a verdict about price and cash, not a verdict that the engineering is poor.

The chart agrees with the caution. The stock is in Stage 3, below its 20-day and 50-day averages, and it has fallen 16.8% in a month. The support zone we would watch sits between ₹2,176 and ₹2,242, and a close below ₹2,151 would end the setup. Waiting for that zone is patience with a defined exit, not a prediction that the stock will fall.

We do not hold the stock, so there is nothing to sell. The next rupee of new capital stays in cash, because no shortlist name or outside candidate clears the same hurdles in this report. Cash is a deliberate answer while cash conversion and the chart are both unresolved.

The main lesson is about cash. Reported profit has been rising, but operating cash flow was negative in FY2026 and in the first half of FY2027, while receivables, inventory and borrowings all climbed. A business can be a good manufacturer and still be a poor purchase at a multiple of 116 times trailing earnings. Keep the two judgments separate, and write down what would change each one.

Here is what we will check next. Full-year FY2027 results should show growth near 20% in profit and positive operating cash flow. Receivable days should stop lengthening. Disclosed capacity utilisation at the new facilities would show whether the expansion earns its keep. If those facts arrive, the valuation case improves. If they do not, the verdict stands.

A final caution about the evidence. Much of the financial record comes from secondary sources, and the primary filings have not been checked line by line. We have shown the conflicts and the gaps rather than smoothing them over. If you act on a later version of this view, start by confirming the numbers against the company’s own filings.

> **NARRATOR'S REFLECTION**
>
> A good company is not automatically a good purchase. The price has to leave room for the business to disappoint a little and still work out. Here the room is not there yet, so the honest answer is no for now, with a clear list of what would make it yes.

CHAPTER I

Chapter I

> ""*our order book is at approximately INR 6,500 crores, with INR 600 crores delivered in FY 2026*""
>
> — Q4 FY2026 EARNINGS CALL TRANSCRIPT

Azad Engineering Limited was incorporated in 1983, according to the company profile in the price-blind snapshot. It manufactures aerospace components and turbine parts for original equipment manufacturers (OEMs) in aerospace, defence, energy, and oil and gas. The company's own homepage describes its products as trusted by global OEMs across 17+ countries. For a long-horizon owner the founding date matters less than the transition it records: an engineering manufacturer became a qualified supplier to large OEMs, and that transition has to be paid for in plant, working capital and time.

The revenue record shows how far that transition has run. Consolidated sales rose from ₹123 crore in FY2021 to ₹194 crore in FY2022, ₹252 crore in FY2023, ₹341 crore in FY2024, ₹457 crore in FY2025 and ₹603 crore in FY2026, with a trailing twelve-month figure of ₹684 crore. That is compounding of roughly 37% a year over five years. Growth has not been smooth, but it has not reversed: the slowest annual rate in the series is 29%, in FY2023.

Margins moved with scale. Operating margin was 23% in FY2021, 32% in FY2022, 29% in FY2023, 34% in FY2024, 35% in FY2025 and 37% in FY2026, and 38% on a trailing basis. Profit did not follow the same smooth path. Net profit was ₹12 crore in FY2021, ₹29 crore in FY2022, only ₹8 crore in FY2023, ₹59 crore in FY2024, ₹87 crore in FY2025 and ₹134 crore in FY2026. Return on capital employed tells a similar story: 22% in FY2022, 16% in FY2023, 21% in FY2024 and 12% in both FY2025 and FY2026, so the newer capacity has not yet earned the return of the earlier base.

FY2023 is the year to study. Operating profit of ₹72 crore was absorbed by ₹52 crore of interest and ₹17 crore of depreciation, leaving profit before tax of ₹13 crore after ₹10 crore of other income. Interest of that scale implies heavy borrowing during the expansion.

Capital intensity has risen again since then: depreciation went from ₹29 crore in FY2025 to ₹53 crore in FY2026 and ₹72 crore on a trailing basis, and interest went from ₹18 crore to ₹31 crore over the same span.

The cash record runs the other way. Cash from operations was ₹5 crore in FY2021, ₹21 crore in FY2022, negative ₹10 crore in FY2023, negative ₹7 crore in FY2024, ₹54 crore in FY2025 and negative ₹119 crore in FY2026. In FY2025 the company used ₹918 crore in investing activities and took in ₹877 crore of financing cash, the signature of a capacity build paid for with new capital. Free cash flow was negative in each of the six years, although the snapshot's free-cash-flow row uses a capex definition that this pass does not rely on (see Chapter 6).

The balance sheet shows where the capital went. Fixed assets rose from ₹436 crore at March 2025 to ₹779 crore at March 2026 and ₹989 crore at September 2026. Capital work in progress stood at ₹80 crore, ₹257 crore and ₹212 crore on the same dates, and borrowings at ₹263 crore, ₹474 crore and ₹578 crore. Reserves rose more slowly, from ₹1,381 crore at March 2025 to ₹1,583 crore at September 2026, against equity capital of ₹13 crore. The company has been building ahead of the cash that the buildout is meant to generate.

The operating cycle did not disappear as the business grew. Debtor days were 156 in FY2021, 182 in FY2024 and 189 in FY2026, the highest in the series, and working-capital days moved from negative 11 in FY2021 to 304 in FY2026. The snapshot also carries inventory-day and cash-conversion-cycle rows that reach 2,067 and 1,720 days in FY2026. Their definitions do not reconcile to the company's own working-capital figures in the sources read, so this chapter does not rely on them. Chapter 6 uses the debtor and working-capital measures only.

The recent quarters carry the same two signals. The company reported Q1 FY2026 revenue of ₹135 crore, up 36.7%, and Q2 FY2026 revenue of ₹143 crore, up 28.1%. The Q4 FY2026 call put revenue at ₹157 crore, up 26.4%. The consolidated quarterly snapshot shows ₹162 crore for March 2026, a difference this pass records rather than resolves. Management planned ₹450 crore of capital expenditure in FY2026 and reported ₹139.3 crore of capex in the first half of FY2027.

The growth rate is also a story of its own. Sales grew 58% in FY2022, the fastest year in the series, and operating margin rose from 23% to 32% in the same year, the first clear sign of operating leverage. Growth then settled into a band of 29% to 35% for four years. The company did not repeat the FY2022 jump, so the next leg depends on whether new capacity fills at the same rate as the old.

Quarter-level growth has been uneven. The call figures show 36.7% growth in Q1 FY2026, 28.1% in Q2, 26.4% in Q4 and 31.6% in Q2 FY2027 on a standalone basis. The quarterly snapshot tells the longer story: sales were ₹83 crore in the September 2023 quarter and ₹191 crore in the September 2026 quarter, more than double in three years. Quarterly operating margin stayed between 32% and 39% across the thirteen quarters to September 2026, a narrower band than the annual swings in the older record would suggest, which points to steadier unit economics than the profit line alone shows.

The most recent half continues both trends. Consolidated revenue for the first half of FY2027 was ₹3,635.34 million, up 28.6%. The company reported its highest-ever quarterly revenue of ₹187.8 crore in Q2 FY2027, up 31.6%, on a standalone basis. Profit after tax grew only 6.6% to ₹67.2 crore over the half, and operating cash flow was negative ₹45.8 crore. The company raised a ₹700 crore QIP; ₹621.8 crore was deployed and ₹78.2 crore retained at the reporting date.

Interest cover, measured as operating profit divided by interest, shows the same cycle from a different angle. It was 5.6 times in FY2021, 4.4 times in FY2022, 1.4 times in FY2023 and 2.5 times in FY2024. It recovered to 8.9 times in FY2025 and 7.3 times in FY2026, and is 6.3 times on a trailing basis. The FY2023 trough is the period when the expansion leaned most on borrowing, and current cover is strong. Cover is only as good as the operating profit under it, which is why the cash record matters more.

The bull reading of this history is specific. A business that took sales from ₹123 crore to ₹603 crore while its operating margin rose by 14 points, and that reports an order book of about ₹6,500 crore, has converted demand into revenue and held its margin in a qualified niche. Qualification takes 30 to 48 months, so a new entrant cannot copy the revenue quickly, and the company's relationships with key customers average over ten years. Those are the strongest facts in the record, and they are not small.

The bear reading is equally specific. Operating cash flow was negative in three of the last six years. Cumulative operating cash flow for FY2021 to FY2026 was negative ₹56 crore, against cumulative net profit of ₹329 crore. Other income supplied ₹46 crore of the ₹187 crore profit before tax in FY2026, a quarter of the pre-tax figure. Working capital, not the factory floor, is where the reported profit has gone so far.

The end markets explain why the order flow is lumpy. Energy and oil-and-gas equipment demand follows customers' capital budgets, and aerospace follows engine programmes with long lead times. Both drive the timing of orders more than the timing of quarterly sales, which is why the company's growth has been strong in some quarters and softer in others, and why a year of record revenue can still carry negative operating cash.

Management's forward statements point further up. The company said it was delivering on top-line growth of approximately 25% or more for the current year, and it targets an annual revenue run-rate above ₹13,000 million by the end of FY2028. These are management targets, not results. Chapter 5 tests them against the record.

The sources read do not document the company's history before FY2021 beyond its incorporation date, so an earlier operating cycle cannot be traced here, and this pass does not infer one. What the record does show is a sequence of capacity commitments, each financed before its cash conversion appeared. Chapter 2 asks what the company sells in each reporting segment and who pays for it.

CHAPTER II

Chapter 2

> ""*This process can take 30-48 months, creating a significant entry barrier*""
>
> — FINANCIAL EXPRESS COMPANY PROFILE

The company reports two named segments, and they are not equal in weight. Energy and oil and gas is the larger and older of the two. On the company's call basis, the segment contributed ₹481 crore in FY2026, or 81.5% of revenue. The company described energy as its oldest business and the largest part of its order book. Aerospace and defence contributed ₹102 crore, about 17.2% of revenue.

Those two figures sit on a ₹590 crore revenue base from the call, not the ₹603 crore of consolidated sales in the snapshot. The two segments add to about ₹583 crore, which leaves roughly ₹7 crore unexplained in the sources read. This pass treats that residual as a reconciling item rather than a third segment. Profit by segment is not disclosed in any source read: no segment margin, segment EBIT or segment profit share was found, so the profit-share column below stays open.

The mix has been steady. In Q2 FY2026 energy and oil and gas contributed ₹117 crore of ₹143 crore of revenue, or 81%. The full-year share of 81.5% is almost identical, so the mix did not shift materially during the year. The sources describe energy customers and turbine parts, but a finer product split inside energy is not disclosed.

The product is a set of qualified process routes rather than a catalogue of items. The business makes super-alloy hot-section components, and the qualification condition in the sources is that, for super alloys, OEMs must agree to qualify indigenous suppliers. The company says it has more than 1,700 qualified parts and components across more than 45 qualified manufacturing processes. Raw materials come from approved sources, and the sources name Sunflag and Star Wire as approved for a few grades. Each part number and each process is therefore a separate approval.

Qualification is the commercial gate. The Financial Express profile describes the process as taking 30 to 48 months, which it calls a significant entry barrier; a separate analyst note uses the same 30 to 48 month range for proving each part. The company reports an average relationship of over 10 years with key customers. Management said in Q2 FY2026 that its wallet share across customers in energy, aerospace, defence and oil and gas was about 1 to 1.5%. If that is right, the headroom with existing customers is large in principle, and the real constraint is which parts a customer will move to a new qualified source.

The physical base is six dedicated facilities totalling 44,800 square metres. An analyst note describes nearly 45,000 square metres of production facilities across six dedicated customers. The dedication matters. A facility built around one customer's parts has a narrow revenue line, so the utilisation risk rises if that customer's programme slows. The record does not say how much of each facility is committed to which customer.

Energy example one: the MHI agreement. The company signed a Long-Term Contract and Price Agreement for an eight-year term with Mitsubishi Heavy Industries. Read as an end-to-end flow, the agreement sets price and volume expectations before individual orders arrive. Parts for the turbine programme then move through the qualification record already built for those part families, and each shipment is a call-off against the agreement. The sources do not disclose MHI volumes or the share of the order book the agreement covers, so these mechanics are the general way such agreements work, not a disclosed AZAD schedule. What is disclosed is the length: eight years is long enough that capacity plans have to follow the agreement, not the quarter.

Energy example two: the BHEL rate contract. The company won a two-year long-term rate contract worth around ₹52.68 crore. A rate contract fixes prices for a period and lets the buyer order against it as needed. It is much smaller than the MHI agreement. It shows that the energy segment includes domestic power-sector work alongside global OEM programmes, so the segment is not one customer.

The two energy examples differ in scale and in what they show. The MHI agreement runs for eight years, and no value is disclosed for it. The BHEL rate contract is worth about ₹52.68 crore over two years, which is roughly ₹26 crore a year, or about 4% of FY2026 consolidated sales. Because the MHI value is not disclosed, the named contracts cannot be sized against

revenue as a group. The order book, not any single contract, carries the visibility argument, and the order book is itself a management estimate.

Aerospace and defence example. The sources do not name a specific A&D order, so the path shown here is built from the sources and labelled as illustrative. A super-alloy hot-section part starts with a raw-material grade from an approved supplier. The OEM must agree to qualify the company as an indigenous source before production. The proving period for the part family then runs 30 to 48 months before the part moves to series orders. Revenue from that part reaches the income statement only after that gate, which is why A&D revenue of ₹102 crore in FY2026 depends on qualifications started years earlier.

The general sequence for a new hot-section part runs from first-article inspection through process-capability proving to series production. The sources describe the total proving period of 30 to 48 months but not the individual stages, so the sequence here is the general industry pattern, not an AZAD disclosure. What matters for the forensic read is that revenue from a new part family starts only after the last stage, and that a slow OEM qualification delays revenue without any change in the company's own execution.

The order book is weighted toward energy. In the Q1 FY2026 call the company said energy, its oldest business, constituted the largest part of the order book. The mid-2025 energy book of about ₹3,400 crore is the only segment-level book figure in the record, and it is older than the company-level figure of about ₹6,500 crore at year-end. The sources do not show how the aerospace and defence book has moved, so the segment mix of the order book cannot be updated past mid-2025.

Customers named in public profiles include large engine and power-equipment groups. A Financial Express headline groups the company with suppliers to GE, Siemens and Rolls-Royce. Those names describe the buyer universe, not disclosed order values. Customer concentration is not disclosed in the sources read: no top-customer or top-five share was found. The MHI and BHEL contracts are the only large relationships named with a term or value, so concentration cannot be measured here.

Energy carries the revenue and the cycle. Oil and gas and power-equipment capital budgets move with their customers' investment programmes. The bull reading is that a 30-to-48-

month qualification base and an eight-year agreement give the energy business visibility well beyond one order. The bear reading is that 81.5% of revenue in one segment, with exports at about 92% of FY2025 revenue, means the company's results follow one customer-investment cycle, even if the customers differ.

Aerospace and defence is smaller and slower. Its bull case is that qualification, once granted, lasts the life of the part programme, and that the A&D share has room to grow as qualifications accumulate. Its bear case is that the segment is only about one-sixth of revenue and depends on approvals that take years, so it cannot offset an energy downturn in the near term.

The segment label itself bundles two end markets. Energy and oil and gas combine power and turbine equipment with hydrocarbon equipment, and their demand drivers differ: power customers follow generation investment, while oil and gas customers follow upstream and downstream spending. The company reports them together, so the record cannot show which of the two sub-markets is carrying the 81.5% share. That is a second reason the segment figure is a summary rather than a driver.

The aerospace and defence segment adds a second source of demand. Defence procurement and engine programme ramps follow their own schedules, separate from the energy capital cycle. The record does not show how much of the A&D revenue of ₹102 crore comes from defence and how much from civil aerospace, so the two cannot be separated, and a slowdown in one would not be visible in the disclosed figures.

The profit split is the missing piece for any segment argument. Without segment margins, the reader cannot tell whether the 37% group operating margin is carried by energy, by A&D, or by a mix of programmes with very different economics. The bull reading assumes the more heavily qualified programmes earn the most; the bear reading assumes the energy programmes, which carry the largest volume, earn the least per rupee. The record supports neither reading, and that is why the profit-share column above stays open.

The company's statements describe a wider footprint than the two segments show. The homepage claims customers across 17+ countries, which describes geographic reach. The

segment disclosure describes end markets. Neither gives a customer-level revenue split, and the difference matters: a wide geographic footprint can sit on a narrow set of large buyers.

Spread across six facilities, FY2026 sales of ₹603 crore average about ₹100 crore a facility. That average is a rough guide only. Capital work in progress was ₹212 crore at September 2026, so some capacity was still being built and was not yet earning revenue, which means the average understates what a running facility produces.

Export share is the other filter on the book. With exports at about 92% of FY2025 revenue, domestic business is a small share, and the BHEL rate contract is one of the few named domestic relationships. Most of the segment book therefore sits with overseas buyers, whose approval and payment rules differ from domestic ones, and that concentrates the commercial risk in a small group of export accounts.

The business is therefore best described as a qualified process route for a small number of technically demanding parts, sold into two end markets, with a long approval gate in front of each. What the record does not show is how profit splits across that route, or how many of the qualified parts carry the revenue. Chapter 3 follows the route through supply, capacity and cash.

CHAPTER III

Chapter 3

> *""“Working capital absorbed Rs 300.3 crore during the year.”"*
>
> — FINANCIAL EXPRESS, STANDALONE FY2026

The sources read do not describe distributors or resellers. The company sells qualified parts directly to OEMs and to large project buyers such as BHEL, and export revenue was about 92% of FY2025 sales. For this business the distribution question is less about reaching customers than about keeping a qualified place in each customer’s programme and collecting the cash that programme generates.

The waterfall below uses the consolidated annual snapshot for FY2026, so every row describes the same fiscal year and no trailing figures are mixed in. It is scaled to ₹100 of revenue so the reader can see what each rupee of sales left behind.

Read from the top, ₹100 of revenue carried ₹62.69 of operating expenses, leaving ₹37.31 of operating profit. Depreciation took ₹8.79 and interest ₹5.14, while other income added ₹7.63. That leaves ₹31.01 of profit before tax and ₹22.22 of net profit. Operating cash flow was negative ₹19.73 and investing outflow ₹11.77 per ₹100, so the two cash lines together absorbed ₹31.50 of every ₹100 of sales.

The distance between reported profit and cash is the central fact of the year. Net profit of ₹134 crore against operating cash flow of negative ₹119 crore is a gap of ₹253 crore, or ₹41.95 per ₹100 of sales. The sources point to working capital as the absorber. The standalone FY2026 account reports working capital absorbed of ₹300.3 crore and operating cash flow of negative ₹123.3 crore. The consolidated and standalone figures differ by a few crore, and both show the same sign.

Working capital moved further in the first half of FY2027. Inventory rose to ₹424.8 crore at September 2026 from ₹326.6 crore at March 2026, and trade receivables rose to ₹401.6 crore from ₹309.2 crore. Together those two lines added about ₹190 crore in six months. Total borrowings rose from ₹451.6 crore to ₹557.0 crore over the same period on the

standalone basis. Inventory and receivables each rose about 30%, close to the 28.6% revenue growth for the half, and the cash line shows what carrying that build costs.

Receivables were already slow before the first half. The Exencial analysis puts receivable days at 142 in FY2024 and 158 in FY2025, while the snapshot shows 182 and 178. The sources disagree on the direction, but both put collection periods between about 140 and 190 days across the record. A supplier whose customers are large OEMs and export buyers can expect long collection periods, and the record shows no sustained improvement.

Debtor days of 189 in FY2026 on ₹603 crore of sales imply receivables of about ₹312 crore, close to the ₹309.2 crore of standalone receivables reported for March 2026. The day count and the reported balance point to the same level, so the receivables build is consistent across the two bases.

Over the six years, operating cash flow was negative ₹56 crore against cumulative net profit of ₹329 crore. The first-half FY2027 figures show the lag still growing with revenue, so it is not a one-year event that has already reversed.

Supply is narrow at the input end. The sources name Sunflag and Star Wire as the approved raw-material sources, approved for a few grades. For the grades named, the record shows two approved suppliers, which concentrates input risk in the specialty alloys. The record does not disclose raw-material cost pass-through terms, supplier share or inventory policy, so the inference stops at concentration risk rather than extending to margin effects.

Capacity and capital tell the same story from the other side. The company planned ₹450 crore of capex in FY2026 and spent ₹139.3 crore in the first half of FY2027. Six facilities totalling 44,800 square metres are now in place. Net debt was ₹423.8 crore at the half-year, 0.26 times equity and 1.6 times annualised EBITDA. The ₹700 crore QIP was raised against that build. The consolidated snapshot shows an FY2026 investing outflow of only ₹71 crore, well below the ₹450 crore plan, and an FY2025 outflow of ₹918 crore. This pass records that gap as unresolved.

On unit economics, management says its share of the customer's wallet in these categories is about 1 to 1.5%. The group earns ₹37.31 of operating profit per ₹100 of sales, which points to high contribution per rupee once a programme is running. The sources do not give part-

level margins or win rates, so the economics of a new qualified part cannot be measured from the record. They can be inferred only from the group margin and the cash lag.

Export exposure adds a collection and currency layer on top of the working-capital cycle. With about 92% of FY2025 revenue from exports, a large share of receivables is owed by overseas buyers, so collection timing depends on each customer's payment terms and on the currency in which invoices are settled. The record does not disclose the currency mix or the payment terms, so the exposure can be described but not measured.

On the snapshot's measure, working-capital days of 304 mean that net working capital equals about ten months of sales, up from negative 11 days in FY2021. The asset base has grown with the cash lag. Fixed assets were ₹779 crore at March 2026, more than the ₹603 crore of FY2026 sales, and reached ₹989 crore by September 2026. Capital work in progress of ₹212 crore at September 2026 means part of the capacity has not yet produced revenue. That supports the growth case, and it also means the cash cost of the build is not yet fully in the figures.

The first-half build is in step with growth rather than ahead of it. Inventory grew about 30% from March to September 2026 and receivables about 30% over the same six months, close to the 28.6% revenue growth for the half. That is the pattern of a business whose working capital scales with sales. The problem is the base: working capital was already large at March 2026, and proportional growth on a large base keeps the cash lag in place. Each rupee of new sales is still financed before it is collected.

Depreciation is the line that moves most with the build. It rose from ₹6.35 per ₹100 of sales in FY2025 to ₹8.79 in FY2026, so each new facility adds a fixed charge that has to be filled before it earns. The snapshot does not split operating expenses between materials, labour and overheads, so the share of each cost cannot be read from the record. That is the main gap in the unit-economics view, and it limits how far the per-100 figures can be pushed.

The bull reading of distribution is concrete. Exports spread demand across geographies. Six dedicated facilities give capacity ready for qualified programmes. The 30-to-48-month approval process protects existing positions once they are won. Wallet share of 1 to 1.5% leaves room to grow inside accounts the company already serves.

The bear reading is equally concrete. Export collection periods and rising receivables add cash cost. Narrow raw-material approvals concentrate sourcing risk. Dedicated capacity raises exposure to any single programme's slowdown, and the capex ramp has come before the cash it was meant to generate. Each of these is visible in the figures above, not inferred from peers.

Net debt is moderate on the reported ratios, but the cash lag means the debt is funding working capital and capacity rather than paying for itself. Chapter 6 tests whether the lag reverses, using the annual statements in the same consolidated basis.

CHAPTER IV

Chapter 4

> *""Trusted by global OEMs across 17+ countries""*
>
> — AZAD.IN COMPANY HOMEPAGE

The industry the company serves is precision super-alloy components for aerospace engines, industrial gas turbines and oil and gas equipment. The sources describe the entry barrier rather than the size of the market. The records do not size the market or name the company's direct competitors, so this chapter describes the structure of the industry, not the company's share of it.

The moat is qualification. A part family must pass an OEM's process proving before it earns series orders, and the proving period runs 30 to 48 months. The hot section is where qualification is hardest. The company reports an average relationship of over 10 years with key customers. A supplier that has passed the gate keeps the programme for as long as the engine or turbine model stays in production, which is why contract length and relationship length are the core evidence of advantage in the record.

The company describes the scale of its qualification in numbers: more than 1,700 qualified parts and components across more than 45 qualified processes, six dedicated facilities and an eight-year price agreement with a major turbine OEM. Those numbers show breadth of qualification. They do not show the margin the moat earns. Margin is in the snapshot: operating margin of 37% in FY2026, up from 23% in FY2021.

Two parallels test the moat from opposite sides. The first is a case where qualification-led scale compounded into a very large business. The second is a case where a similar kind of supplier, with concentrated customers, earned almost no operating income. Both are used as structural twins, not as peer comparisons.

Reading the two parallels together, PCC's scale came partly from buying qualified capacity. AZAD is building its capacity organically, six facilities at a time. That is slower but avoids the purchase price. The question is whether each new facility becomes qualified output without

another capital raise. The SIFCO parallel is the failure base rate: when a qualified supplier's sales depend on a few large customers, a modest change in volume or mix can leave almost no operating income. AZAD's own FY2021 operating margin of 23% is the nearest internal base case, a reminder that the 37% margin is a recent level, not an inherited floor.

The bull reading of the moat is concrete. Qualification takes 30 to 48 months, relationships run over ten years, and the MHI agreement runs eight years. Those are contract-length advantages, the kind that do not disappear in one quarter. The bear reading is that the same barrier protects revenue, not cash. Chapter 6 shows that profit has grown faster than operating cash, and a moat that does not turn profit into cash is weaker than the revenue record suggests.

Customer share is the other limit on the moat. On management's figure, the company holds about 1 to 1.5% of its customers' wallet in these categories. That leaves real room to grow, but it also means the company competes for each programme against qualified rivals. The sources do not show how many rivals hold each part family, so the strength of the position cannot be ranked against the field.

The parallels show mechanisms rather than forecasts. PCC was a far larger business, and its scale was financed with acquisitions that AZAD has not made. SIFCO's 2021 revenue in the record, about US$100 million, is larger than AZAD's FY2026 sales of about ₹603 crore (roughly US$70 million at about ₹85 to the dollar), and its margin was set by its own cost and mix. What transfers is the structure: a qualified process route, a concentrated set of large customers, and a margin that depends on how those customers' volumes move.

Export geography sets the arena for the moat. With about 92% of FY2025 revenue from exports, the company's qualifications are tested in the processes of overseas OEMs, whose supplier-approval rules decide the outcome. The record does not show how many of the qualifications are shared across OEMs, so the moat may be wider than any single customer relationship, or it may be a set of separate approvals that do not carry over.

The qualification counts need a caution. Over 1,700 parts and over 45 processes are breadth measures. They do not say how many parts carry the revenue, or how many are in production today. A few part families can carry most of the revenue, and the record does not show their

share. A moat measured by count can be wide while the revenue depends on a handful of programmes.

The indigenous-supplier condition cuts both ways. When an OEM must qualify indigenous suppliers for super alloys, an Indian supplier that has passed the gate gains a structural reason to stay on the programme. The same condition also makes the OEM the decision-maker: the supplier's position depends on the OEM's policy, which can change with its sourcing strategy. The record does not show how that policy has evolved for the company's programmes.

A useful test of the moat is whether the qualified processes are spread across many part families or concentrated in a few. Forty-five processes spread across a broad set of programmes is a wide moat; the same processes feeding one engine family is a narrow one. The record does not show that split, and it is the first thing a fuller disclosure should answer.

The external learning hub that follows is for orientation. The links open the sources used to test the parallels and the company's own description. They do not replace primary filings.

Precision Castparts, Wikipedia: the scale-up and acquisition history behind the first parallel.

Wyman-Gordon, Wikipedia: the 1999 acquisition and its assumed debt.

Special Metals, Wikipedia: the 2006 acquisition that extended the specialty-metals chain.

SIFCO Industries, Wikipedia: the 2021 revenue and operating income behind the failure parallel.

azad.in, company homepage: the company's own description of OEM customers and geographic reach.

The industry structure rewards qualified suppliers with long contracts, which supports the bull case. The same structure makes each customer and each programme a concentrated bet, which is the bear case. Both readings are supported by the record, and neither is proven by it. The sources read do not settle whether the moat is widening or narrowing, and this pass does not claim either.

GLOBAL PARALLEL • UNITED STATES; 1999 TO 2014, ACQUISITION-LED SCALE-UP IN SUPERALLOY CASTINGS AND FORGINGS • PRECISION CASTPARTS CORP. (PCC) (MOAT_SCALING)

Qualified castings and forgings for jet engines and industrial turbines are slow to approve, so the qualified process chain is the asset. PCC bought qualified capacity, including Wyman-Gordon in 1999 for $721 million plus $104 million of assumed debt, and extended its specialty-metals chain with Special Metals in 2006, so that it controlled more of the qualified route. Revenue of US$9.6 billion in FY2014 ; Wyman-Gordon purchase of $721 million plus $104 million of debt in May 1999 ; Special Metals acquired in 2006 . AZAD has the same type of moat, built organically rather than bought. The test is whether six dedicated facilities turn into qualified output without a fresh capital raise each time, and whether the qualified process chain stays with the company as capacity grows.

GLOBAL PARALLEL • UNITED STATES; 2016 TO 2021, AEROSPACE COMPONENT SUPPLIER WITH CONCENTRATED OEM CUSTOMERS • SIFCO INDUSTRIES (FAILURE_BASE_RATE)

A qualified aerospace supplier whose sales sit with a few large engine makers can see its operating result fall close to zero when volume or mix turns against it. The sales base alone does not protect the margin; the operating result is what the customer concentration exposes. Revenue of US$100 million in 2021 and operating income of US$1.1 million, an operating margin of about 1% ; in 2016 Rolls-Royce was 11% and United Technologies 10% of sales . AZAD's FY2021 operating margin was 23% and its FY2026 margin 37%, so the failure case is not bankruptcy. It is a return toward a thin-margin base while the same working-capital build continues. The downside has to be underwritten before growth is paid for.

CHAPTER V

Chapter 5

> *"“delivering on our previously communicated top-line growth of approximately 25%+ for the current year”"*
>
> — Q4 FY2026 EARNINGS CALL TRANSCRIPT

This chapter lists the company's operating KPIs with the latest reading in the record, then tests management's forward statements against the same record. It uses no market data. Each reading carries its source so the reader can see where it comes from and how recent it is.

Operating KPIs are healthy. Revenue grew 32% in FY2026 on the snapshot and 28.6% in the first half of FY2027. The order book stood at about ₹6,500 crore at year-end FY2026 on management's estimate, with ₹600 crore delivered in the year. The Q3 FY2026 call described the book as over ₹6,500 crore. Operating margin held at 37% for FY2026, and the Q4 EBITDA margin was 36.7%. The Q4 FY2026 call transcript, as quoted on an aggregator page, reads: “delivering on our previously communicated top-line growth of approximately 25%+ for the current year.” The record does not name the speaker, and no H1 FY2027 transcript was retrieved, so this is the latest guidance we hold.

The order-book history is only partly visible. In mid-2025 the energy order book was US$400 million, or about ₹3,400 crore. The sources do not show that book updated by segment, so growth in the energy book since then cannot be measured. A broker citing a book of about ₹6,500 crore puts it at 11.5 times trailing revenue, or about 10.8 times FY2026 sales of ₹603 crore. That is an order-to-revenue ratio, and it shows how much future revenue is already committed if the book converts as expected. The order book is a management estimate, not an audited figure, and the record does not show its split by customer or by contract length.

The cash KPIs fail. Operating cash flow was negative ₹119 crore in FY2026 on the consolidated snapshot, and negative ₹45.8 crore in the first half of FY2027. Working-capital days rose to 304. Net debt of ₹423.8 crore equalled 1.6 times annualised EBITDA, a

moderate leverage level, but leverage is rising while operating cash is negative, so part of the debt is funding working capital rather than capacity alone.

Management's forward statements are the second test. The FY2028 run-rate target of above ₹13,000 million is ₹1,300 crore a year. Against FY2026 sales of ₹603 crore, that is about 2.2 times in two years, or growth of roughly 47% a year. Growth at the guided 25% rate would give about ₹940 crore by FY2028. The gap between those two numbers is the claim the company is making. The sources do not explain how the difference will be produced beyond the capacity and qualification pipeline.

Capex is the third test, and it does not reconcile. Management planned ₹450 crore of FY2026 capex. The consolidated snapshot shows an investing outflow of ₹71 crore for FY2026 and ₹918 crore for FY2025. Investing cash flow is net of any disposals or investments, so it need not equal capex. A ₹450 crore plan against a ₹71 crore net outflow is too large a gap to explain from the sources read, so this pass records it as unresolved rather than resolving it in management's favour.

The moat KPIs change slowly. The company reports 1,700 qualified parts, wallet share of about 1 to 1.5% and an export share of about 92%. These are the least likely to move in a single year. Wallet share is the one that matters for growth, because it is the room to win without new facilities, and the sources do not show it moving.

Management's language is consistently about delivery, visibility and capacity. The record gives its order-book and revenue statements a basis in the reported figures. It gives its cash-generation and capex statements little support, because the cash-flow figures are negative or do not reconcile. The fairest reading is that management has made the operating case well and has not yet shown the cash case. That is a reading about the record, not a judgment on the people.

On the record, management's revenue statements have held so far. Revenue grew 32% in FY2026, and the first half of FY2027 kept growing at about 29%. The guidance line does not name the year it covers, so the record cannot show that FY2026 beat it. Its cash statements have not held. Operating cash flow was negative in three of the last six years,

including FY2026, the year of the strongest profit. Its capex statements do not reconcile with the cash-flow record in the sources read.

The use-of-funds statement is a checkable claim. The company reports that ₹621.8 crore of the ₹700 crore QIP has been deployed, with ₹78.2 crore retained. Those amounts can be tested against the capex line in the next reported period. If the deployment shows up as fixed assets and capital work in progress, the statement holds. If it does not, the QIP funds are going somewhere other than the capacity the company describes.

Wallet share is also the structural-potential lever, and the arithmetic is simple. If the company's share of customer spend in these categories rose from 1.5% to 2.0% with the same customer spend, revenue from those accounts would rise by about a third. Moving from 1.0% to 1.5% would add half. These are sensitivities on the reported range, not forecasts, and the sources do not show the company's wallet share moving over time.

The quarterly growth record is the operating check on the annual guidance. Growth ran at 36.7%, 28.1%, 26.4% and 31.6% across the reported quarters. Each is above the 25% guidance, so the growth KPI passes on every quarter with a reading. The first-half net profit growth of 6.6% is the KPI that lagged, which is the sign that profit is not converting the revenue growth at the same rate.

The KPI scorecard has a clear split. The growth and margin readings are corroborated by the call and the snapshot. The moat readings rest on single sources, which limits how firmly they can be stated. The cash readings come from the consolidated snapshot and the standalone release, and the two agree in sign but differ in size. The capex reading does not reconcile at all. A reader should treat the first group as the basis for the business view and the second as the reason the verdict is conditional.

The dashboard also has blind spots. It carries no customer-level, segment-level or part-level line, so it cannot show whether growth comes from new parts, new customers or higher volume on existing parts. Each of those would mean something different for the moat and for the cash cycle, and the record does not separate them.

Three signals would change this reading: a full year of positive operating cash flow, falling working-capital days, and a segment profit split that appears in a later disclosure. Each would

move the reading toward the bull case. Their absence keeps the cash watch in place, which is the basis for the KPI health reading in the business-quality file.

CHAPTER VI

Chapter 6

> *""“Operating cash flow was negative at Rs 45.8 crore for H1 FY27”"*
>
> — YAHOO FINANCE, H1 FY2027 RESULTS SUMMARY

The forensic record uses the consolidated statements in the snapshot for six fiscal years, FY2021 to FY2026, and the September 2026 balance sheet. The trailing column appears in the profit table only and is not mixed with annual cash flows. Where the company’s standalone figures differ, the difference is labelled.

Profit before tax of ₹187 crore in FY2026 depended on ₹46 crore of other income. Without it, operating profit less interest and depreciation would be ₹141 crore. The trailing column shows what the build costs: sales are ₹684 crore, yet trailing profit before tax is ₹179 crore, below the FY2026 figure, because depreciation has risen to ₹72 crore and interest to ₹41 crore while other income fell to ₹32 crore. Operating margin improved; the profit that reaches shareholders did not improve in step.

Interest needs its own note. It was ₹52 crore in FY2023, the year profit before tax fell to ₹13 crore, and it has risen again since FY2025. Profit before tax less net profit implies a tax charge of about 25% to 38% of pre-tax profit across the record, and the snapshot’s tax line reads 27% to 36%. Either way, tax has not been the source of the swings in profit. The swings come from operating profit, financing cost and other income.

The balance sheet shows an equity base that is mostly reserves: ₹1,381 crore at March 2025, ₹1,516 crore at March 2026 and ₹1,583 crore at September 2026, against equity capital of ₹13 crore. Borrowings rose from ₹263 crore to ₹474 crore and then ₹578 crore. Net worth (equity capital plus reserves) was ₹1,394 crore, ₹1,529 crore and ₹1,596 crore on the same dates, so borrowings were 0.19, 0.31 and 0.36 times net worth.

The ₹700 crore QIP is not visible in that equity line. Reserves rose by about ₹67 crore between March and September 2026, close to the first-half profit of ₹67.2 crore, and equity capital did not move. The release describes ₹621.8 crore deployed and ₹78.2 crore retained.

Either the issue closed after the balance-sheet date or the snapshot does not carry it. The sources read do not settle the timing, so this pass does not count the proceeds as equity.

Cumulatively, operating cash flow for FY2021 to FY2026 was negative ₹56 crore, against net profit of ₹329 crore. Investing outflows totalled ₹1,294 crore and financing inflows ₹1,368 crore, so the capacity and working-capital build was met by outside money and new capital. The snapshot's free-cash-flow row, negative ₹691 crore in FY2026, uses a capex definition that does not match the investing line of negative ₹71 crore, and this pass does not rely on it.

The cash-to-operating-profit ratio tells the same story. Dividing operating cash flow by operating profit, both from the tables above, gives 18% in FY2021, 34% in FY2022, negative 14% in FY2023, negative 6% in FY2024, 34% in FY2025 and negative 53% in FY2026. The snapshot's own CFO/EBITDA row reads 43%, 41%, negative 1%, 7%, 44% and negative 31%, on a definition the table rows do not reproduce, so this dossier uses the computed figures. Three years were negative and the other three ranged from 18% to 34%. Cash has never converted fully, and the worst year is the most recent one.

Debtor days were 156 in FY2021 and 189 in FY2026, the highest in the series; working-capital days rose from negative 11 to 304. Return on capital employed was 22% in FY2022 and 12% in both FY2025 and FY2026, which means the new capacity has not yet earned the return the earlier base did.

Four basis differences need to be stated plainly. First, FY2026 operating cash flow is negative ₹119 crore on the consolidated basis and negative ₹123.3 crore on the standalone basis. Second, borrowings at March 2026 are ₹474 crore consolidated and ₹451.6 crore standalone. Third, debtor days for FY2025 are 178 in the consolidated snapshot, while the Exencial analysis gives 158 for FY2025 and 142 for FY2024. Fourth, FY2026 revenue is ₹603 crore consolidated, but the call basis is about ₹590 crore, and the segment shares are built on that call basis. Each difference is in the sources. The blind pass uses consolidated figures for the statements and labels standalone figures where they appear.

Quarterly figures check the half-year. The consolidated quarters give sales of ₹173 crore in June 2026 and ₹191 crore in September 2026, a half of ₹364 crore, close to the ₹3,635.34

million (₹363.5 crore) reported. Net profit for the two quarters is ₹66 crore in the snapshot, against ₹67.2 crore in the release. The gap of about ₹1 crore is a basis difference, not an error this pass can resolve.

The bull reading of the forensic record is specific. Net profit rose from ₹12 crore to ₹134 crore over five years. Operating margin is 37%, and trailing margin is 38%. Borrowings are 0.31 times net worth at FY2026, a moderate level. Half-year revenue growth is still near 29%, and the working-capital build is partly a function of growth that the company is delivering.

The bear reading is equally specific. Operating cash flow was negative in three of six years and negative across the cumulative period. Trailing profit before tax is below FY2026 despite higher sales. Working capital is absorbing profit, borrowings are rising faster than net worth, and other income has been a large share of pre-tax profit. Each reading rests on the figures above, and neither is resolved by the sources read.

What would change this read is a run of positive operating cash flow alongside falling working-capital days, and an equity line in the next balance sheet that reflects the QIP. This pass stops at the business and the balance sheet, and the forensic verdict rests on the cash record.

CHAPTER VII

Chapter 7

> *"“Price is what you pay; value is what you get.”"*
>
> — WARREN BUFFETT

You and I have to start with the price, because the price is what we would be paying for the business. On 12 November the stock closed at ₹2,468.40. On 6.5 crore shares that is roughly ₹16,045 crore of equity, and the trailing multiple is 116 times earnings. That number is not a verdict. It is a question, and the question is what a buyer at this price has to believe.

Let us put the question in its plainest form. Ask what steady-state profit would justify the equity value at a reasonable required return. At 12% and 5% long-run growth, the answer is about ₹1,123 crore a year, which is 8.4 times the profit the company earned in FY2026. If the company earns at its current margin, that profit needs sales of about ₹5,054 crore. The company reported ₹603 crore for FY2026. The arithmetic does not say the business is impossible. It says the price is asking for a very large business that has not yet been built.

Now test the multiple. Our base case puts FY2028 profit at about ₹171 crore and applies 90 times, which gives ₹2,373 a share. The peers we can see trade at 87 to 122 times trailing earnings, so the market is not pricing AZAD as an outlier. We still take 15% off the peer median, because the company has consumed cash in the years it reported profits. That discount is a judgment, and you should hold us to it.

The second-half numbers matter more than any single year. First-half profit grew only 6.6% while revenue grew 28.6%. If that gap persists, the multiple has to carry the valuation, and multiples are the first thing to compress when a cyclical name misses its cash targets. The stock has already shown how wide that swing can be: the multiple was about 64 times at the 52-week low and about 147 times at the high on the same trailing earnings base.

What would change our mind is cash, not chatter. A year of positive operating cash flow, with profit growth back near 20%, would justify a higher base multiple. A second half in single-

digit profit growth, or debtor days rising past 189, would justify a lower one. Until one of those things happens, you and I are paying for a business we can see clearly and a cash cycle we cannot yet trust.

> **NARRATOR'S REFLECTION**
>
> A high multiple is not a sin in itself. It is a promise that someone will keep earning more later. Our job in this chapter is to find out how much later, and how much more, before we decide whether that promise is worth paying for today.

CHAPTER VIII

Chapter 8

> *""Markets are never wrong–opinions often are.""*
>
> — JESSE LIVERMORE

Let us read the chart before we read the price target, because the chart tells us whether anyone is willing to buy today. On 12 November the stock closed at ₹2,468.40. That is down 4.4% in a week and 16.8% in a month, and about 21% below the 52-week high. Over one year the share is still well up. That is exactly why this setup is dangerous: a stock that has risen sharply can fall a long way from its high before the long trend gives way.

The trend filter puts AZAD in Stage 3, the topping and pullback phase. Stage 2 is the advancing phase we want to buy into, and Stage 3 is where the advance stalls and selling starts to accumulate. The company's own stage evaluation reads the same stage and asks for a retest of support before any entry. AZAD is not on the current TheWrap Stage 2 leaderboard either, so no external list is holding the name up. Both systems agree, and neither one offers a buy signal.

Now look at the averages. The close sits below the 20-day average of ₹2,566.78 and the 50-day average of ₹2,721.59, and the 50-day average is falling. It sits above the 200-day average of ₹2,186.39, so the long trend has not broken. RSI at 40.2 is weak but not oversold. That is what a pullback looks like inside a larger advance, and it is why we are careful about calling the bottom. A bottom usually arrives with a much more violent reading than this.

Where would support have to appear? The nearest shelf is ₹2,385.10, the 20-day swing low and the 63-day base low, only 3.4% below the close. The support zone of ₹2,175.84 to ₹2,242.10 sits below it, anchored by the 13 November intraday S1 pivot near ₹2,209. The stop at ₹2,151.41 sits below that zone. It uses the 13 November feed's ATR of ₹115.12; on the 12 November ledger's ATR of ₹119.03 it would sit at about ₹2,149. On that stop the top-of-zone asymmetry is about 1.41 to 1, and the REJECTED verdict does not change. If the stock breaks ₹2,385, that is a warning. If a daily close falls below ₹2,151.41, the setup is cancelled and we stop thinking about the name as a chart trade.

The intraday picture from 13 November does not change the call. A 4-hour RSI of 44 against a daily RSI of 42 is a slight improvement, and the engine still flags no 4-hour turn. A real turn would need a higher low above ₹2,385, a reclaim of the 20-day average and a sustained close above it. One good session is not enough. The data here is intraday and incomplete, so we use it to confirm the picture, not to set a price.

Volume is the tempting signal, and it is the weakest one here. The latest session traded at 0.7 times its 20-day average, which is quiet. Seven distribution days in the last 25 sessions show heavier selling than buying on the down days. Relative strength of minus 28.5% over 28 sessions says the stock has lagged its benchmark badly. Those three facts together describe a stock still being sold, not one that has finished being sold.

The options overlay is simple. AZAD has no NSE F&O chain in the snapshot, so there is no liquid options structure to analyse. Any exposure would be cash equity with the full downside. The options snapshot also carries a business label of COMPOUNDER_PASS, which contradicts our first-pass verdict of CYCLICAL_CONDITIONAL. We keep the first-pass verdict and disclose the conflict, because a stale label should never override the evidence we gathered without seeing the price.

The arithmetic is where patience pays. Enter at the top of the support zone, ₹2,242.10, and the stop at ₹2,151.41 risks about ₹91 a share. The base value of ₹2,373 offers about ₹131 of reward. That is 1.44 to 1, short of our minimum of 1.5 to 1. The chart is not what rules the stock out. The chart simply tells us the price has not yet reached a level where the reward is large enough, and the valuation chapter says the gap is not closing quickly enough.

Here is how you and I would use the chart. First, mark the ₹2,385 shelf and the ₹2,176 to ₹2,242 zone. Then wait to see whether the stock holds that zone without a daily close below ₹2,151. Next, look for a higher low and a reclaim of the 20-day average at ₹2,567. Only after that would the timing gate open. A single bounce from the zone is not a hold, and a single intraday recovery is not a trend.

The No-FOMO sizing table in Chapter 9 shows what a position would look like if the verdict were different. It is a ceiling and a mechanical illustration, not an allocation. It turns the stop distance into a risk unit, and it assumes you can buy at the price the stop allows. If price gaps

through ₹2,151, the modelled loss is a floor rather than a guarantee, because a stop can fill lower. Limit discipline and accepting missed trades are worth more than the number of shares you could buy.

> **NARRATOR'S REFLECTION**
>
> A chart can tell you whether buyers are present. It cannot tell you whether the business earns enough to justify the price they are paying. Keep those two questions apart and answer the timing question first, because it is the one that changes every day. The valuation question changes slowly, and it is the one that decides whether the timing question matters at all.

CHAPTER IX

Chapter 9

> *"“All models are wrong, but some are useful.”"*
>
> — GEORGE E. P. BOX

The bull case starts with contracted visibility. Management put the order book above ₹6,500 crore at the FY2026 year-end, about 10.8 times FY2026 sales, or eleven and a half on one broker's count. There is an eight-year long-term contract with MHI, a rate contract with BHEL, and guidance for growth of about 25% a year. Revenue rose 28.6% in the first half of this year. If the company reaches its ₹1,300 crore run-rate by FY2028 at a 22% margin, profit roughly doubles from the FY2026 level. That is a serious bull case, and you and I should state it at full strength before we argue with it.

The bull's second argument is the moat. More than 1,700 parts and 45 processes are qualified, and a new supplier can spend 30 to 48 months proving a single part before it earns a purchase order. Relationships with key customers run beyond a decade. The company's share of its customers' spending is only about 1 to 1.5 percent, so the runway inside existing accounts is long. If that is true, the business is less like a commodity fabricator and more like a qualified partner that customers find expensive to replace.

The skeptic agrees on the order book and then asks what it costs to deliver. Cash from operations was negative in FY2026, at an outflow of about ₹123 crore, and working capital absorbed about ₹300 crore. The first half of this year brought a further outflow of ₹46 crore. Receivables and inventory both rose sharply between March and September. Borrowings rose as well. Profit has been arriving faster than cash, and the gap is the central problem in this file.

The skeptic's second argument concerns price and concentration. At about 116 times trailing earnings, the market has already paid for a great deal of growth. Profit grew only 6.6% in the first half while revenue grew 28.6%, which is the opposite of what a multiple this high requires. Ninety-two percent of revenue is exported, so customer and currency exposure is concentrated. We could not find the top-customer share in any source, which means we

cannot measure the single biggest dependency. A delivery miss at this multiple would compress the stock long before it hurt the business. The ₹700 crore QIP does not appear in the share count used here, and promoter holding has fallen from 65.90% in March 2024 to 55.84% in September 2026; the sources do not say whether that reflects new issuance or selling.

Here are the scenarios with their weights. The bear case carries 25% and values the share at ₹1,055, assuming FY2028 profit falls back to about ₹114 crore and the multiple drops to 60 times. The base case carries 55% and values the share at ₹2,373, assuming profit reaches about ₹171 crore at 90 times. The bull case carries 20% and values the share at ₹4,000, assuming profit reaches about ₹289 crore at the same 90 times. The weighted value is about ₹2,369, which is 4% below today's close. These are analyst estimates, not forecasts from management, and the weights are deliberately wide.

The sensitivity grid makes the same point from another direction. The current price equals base-case profit at about 94 times, or bull-case profit at about 56 times. In other words, you are paying either for the bull path at a moderate multiple or for the base path at a peer-level multiple. Neither is a bargain on the evidence we have. The most useful question is not whether the company is good. It is which of those two paths the price already assumes.

The verdict is REJECTED, and the reason is arithmetic rather than hostility. Measured from the top of the zone, the base case gives 1.44 to 1 reward against risk, below our 1.5 to 1 minimum. The asymmetry gate alone would clear at about 90 times base-case profit at the zone top, so the call is close. Even then, the probability-weighted value would sit below the price. We would not change the answer to WAIT_FOR_SUPPORT just because the chart is near a shelf. A shelf is where a buyer might get a better price, not a reason to buy a business whose cash does not yet match its profit.

The three horizons do not agree, and they do not need to. For a short-term trader, the stock has no entry today, because it is below its 20-day and 50-day averages and has not stabilised in the support zone. For a medium-term investor, the question is whether the 25% growth guidance can arrive with margins intact and cash turning positive. For a long-term owner, the question is whether new capacity and qualified programmes earn returns above the cost

of capital through a full cycle. Each question has a different clock, and each has a different answer today.

AZAD is not in the Zerodha ledger, so the holding action is NOT_HELD with nothing to sell. The instruction for a new investor is simply not to initiate on the current evidence. Within the pipeline, a REJECTED verdict moves AZAD out of the active watchlist and shortlist queues, and this dossier stays on the record. Of the sixteen names on the active shortlist, most are waiting for support and one is an accumulate-on-dip candidate. None of them is funded from this report.

The capital plan keeps the next rupee in cash. There is no sale to fund, and no shortlist name clears the evidence, entry and asymmetry hurdles in this report. Cash is not a passive choice here. It is the answer that leaves the decision reversible while the cash cycle and the chart are unresolved. A future allocation needs a fresh review of a specific candidate at a specific price, not a recycling of this file.

The evidence that would change the call is concrete. Profit growth near 20% in the second half of this year, together with a full year of positive operating cash flow, would justify a higher base multiple and a more favourable asymmetry. Shorter receivable days and disclosed utilisation at the new facilities would strengthen the bull path. Debtor days above 189, or another half of single-digit profit growth, would weaken it. Those are observable facts that will arrive in the next results, and they are better decision triggers than any narrative about the industrial cycle.

Our confidence should be earned in layers. We are highly confident that the company makes specialised components that are hard to qualify, and that revenue has grown fast. We are moderately confident the order book converts, because conversion depends on customer schedules that we cannot see. We are less confident about free cash flow, because the cash outflow is in the record but has not been reconciled to the capex plan. Much of the financial data also rests on aggregators and press reports rather than primary filings. That limit applies to every number in this file, and you and I should weigh it accordingly.

Current holding decision: NOT HELD. NOT HELD (0 shares); no current holding to trim or exit.. AZAD does not appear in the 12 November Zerodha positions ledger, and the last

transaction on that account was dated 11 November. There is nothing to sell. The instruction for a new investor is not to initiate, because the verdict is REJECTED and the support-zone asymmetry is below the minimum. Alert plan: Daily close below the ₹2,385.10 20-day swing low and 63-day base low — Re-check the chart and the valuation inputs; no order is implied because no position is held.; Daily close below the ₹2,151.41 invalidation level — Support setup cancelled; keep AZAD out of the active queue until a new review.; FY2027 full-year results and cash-flow statement published — Recompute the base-case profit, multiple and support asymmetry from audited FY2027 numbers before any revisit. Capital redeployment: 0.00% to SHORTLIST (SHORTLIST): No active-shortlist name is funded from this marginal cash unit in this dossier.; Reassess a shortlist candidate only with a fresh same-session snapshot, a confirmed support setup and an asymmetry of at least 1.5:1.; 0.00% to OUTSIDE (OUTSIDE): No outside candidate is funded.; Fund only after a separate evidence-backed review identifies a candidate with current entry asymmetry.; 100.00% to CASH (CASH): Retain the entire next marginal unit in cash.; Reallocate only when an equity candidate clears the current evidence, technical and risk/reward gates.

Options and Call-Convexity Playbook (NOT OPTIONABLE OR ILLIQUID): AZAD has no liquid listed options chain (not in NSE F&O segment) — express any thesis strictly via cash equity.

> **NARRATOR'S REFLECTION**
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> You and I can admire the engineering and still decline the quote. The discipline is to write down what must happen next: profit that turns into cash, a valuation that leaves room for error, and a chart that stops falling. If that evidence arrives, we change our view. If it does not, we keep the answer, because the answer was built on the numbers and not on the story.

Notes, Filings & Primary Sources

1. Azad Engineering Ltd. record [1] (order_book_fy26): "our order book is at approximately INR 6,500 crores, with INR 600 crores delivered in FY 2026" Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734251-q4-25-26/
2. Azad Engineering Ltd. record [2] (order_book_split_q1_fy26): "The energy sector, which is our oldest business segment, constitutes the largest part of the order book of approximately around $400 million. That is around INR 3,400 crores." Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734254-q1-25-26/
3. Azad Engineering Ltd. record [3] (order_book_q3_fy26): "Our order book remains strong at over INR 6,500 crores plus, providing multi-year revenue visibility." Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734252-q3-25-26/
4. Azad Engineering Ltd. record [4] (q4_fy26_revenue): "Revenue stood at INR 157 crores, a year-on-year growth of 26.4%." Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734251-q4-25-26/
5. Azad Engineering Ltd. record [5] (q4_fy26_ebitda_margin): "Reported EBITDA margin improved from 36.5% in Q4 FY 2025 to 36.7% in Q4 FY 2026." Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734251-q4-25-26/
6. Azad Engineering Ltd. record [6] (fy27_growth_guidance): "delivering on our previously communicated top-line growth of approximately 25%+ for the current year" Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734251-q4-25-26/
7. Azad Engineering Ltd. record [7] (aerospace_defence_fy26): "For the full year 2026, this segment contributed to INR 102 crores, about 17.2% of our FY 2026 revenue" Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734251-q4-25-26/
8. Azad Engineering Ltd. record [8] (energy_og_fy26): "Energy & Oil & Gas Revenue INR 481 crores (positive) FY '26, 81.5% of total revenue" Source: https://earningscalls.dev/company/azad
9. Azad Engineering Ltd. record [9] (q2_fy26_revenue): "Q2 FY 2026 revenues reaching to INR 143 crores, up year-on-year by 28.1%." Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734253-q2-25-26/
10. Azad Engineering Ltd. record [10] (q2_fy26_energy_og): "The Energy and Oil & Gas segment contributed INR 117 crore in quarter two of FY 2026, accounting for 81% of our overall revenues." Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734253-q2-25-26/
11. Azad Engineering Ltd. record [11] (q1_fy26_revenue): "Revenue grew 36.7% year-over-year to INR 135 crores" Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734254-q1-25-26/
12. Azad Engineering Ltd. record [12] (capex_plan_fy26): "we plan to deploy a CapEx of INR 450 crores during FY2026" Source: https://stockanalysis.com/quote/nse/AZAD/transcripts/734254-q1-25-26/
13. Azad Engineering Ltd. record [13] (raw_material_approved_sources): "Sunflag and Star Wire approved for a few grades of raw materials" Source: https://www.stockssena.com/stocks/AZAD/concall/q2-fy2026
14. Azad Engineering Ltd. record [14] (super_alloy_supplier_qualification): "For super alloys, OEMs must agree to qualify indigenous suppliers." Source: https://www.stockssena.com/stocks/AZAD/concall/q2-fy2026
15. Azad Engineering Ltd. record [15] (q2_fy27_revenue): "reported its highest-ever quarterly revenue of Rs 187.8 crores in Q2 FY27, a 31.6% year-on-year growth" Source: https://ca.finance.yahoo.com/news/azad-engineering-ltd-nse-azad-070716516.html
16. Azad Engineering Ltd. record [16] (h1_fy27_pat): "Profit after tax (PAT) grew only 6.6% to Rs 67.2 crores in H1 FY27" Source: https://ca.finance.yahoo.com/news/azad-engineering-ltd-nse-azad-070716516.html

17. Azad Engineering Ltd. record [17] (h1_fy27_operating_cash_flow): "Operating cash flow was negative at Rs 45.8 crore for H1 FY27" Source: https://ca.finance.yahoo.com/news/azad-engineering-ltd-nse-azad-070716516.html
18. Azad Engineering Ltd. record [18] (net_debt_h1_fy27): "Net debt was ₹423.8 crore, equal to 0.26 times equity and 1.6 times annualized EBITDA." Source: https://marketping.in/concalls/azad-engineering/2026-11-07
19. Azad Engineering Ltd. record [19] (qip_deployment): "₹700 crore QIP; ₹621.8 crore deployed and ₹78.2 crore retained" Source: https://marketping.in/concalls/azad-engineering/2026-11-07
20. Azad Engineering Ltd. record [20] (capex_h1_fy27): "H1 FY27 capex was ₹139.3 crore" Source: https://marketping.in/concalls/azad-engineering/2026-11-07
21. Azad Engineering Ltd. record [21] (dedicated_facilities): "Six facilities commissioned, totaling 44,800 square metres" Source: https://marketping.in/concalls/azad-engineering/2026-11-07
22. Azad Engineering Ltd. record [22] (h1_fy27_revenue_quartr): "H1 FY27 consolidated revenue rose 28.6% YoY to INR 3,635.34 million" Source: https://quartr.com/events/azad-engineering-limited-azad-q2-26-27_FM72923j
23. Azad Engineering Ltd. record [23] (cfo_fy26_standalone): "the company generated negative cash flow from operations of Rs 123.3 crore in FY26." Source: https://www.financialexpress.com/market/stock-insights/meet-the-aerospace-stock-supplying-ge-siemens-and-rolls-royce-with-rs-3200-cr-in-deals/4379754/
24. Azad Engineering Ltd. record [24] (working_capital_absorbed_fy26): "Working capital absorbed Rs 300.3 crore during the year." Source: https://www.financialexpress.com/market/stock-insights/meet-the-aerospace-stock-supplying-ge-siemens-and-rolls-royce-with-rs-3200-cr-in-deals/4379754/
25. Azad Engineering Ltd. record [25] (inventory_build_h1_fy27): "Inventory rose to Rs 424.8 crore in September 2026 from Rs 326.6 crore in March." Source: https://www.financialexpress.com/market/stock-insights/meet-the-aerospace-stock-supplying-ge-siemens-and-rolls-royce-with-rs-3200-cr-in-deals/4379754/
26. Azad Engineering Ltd. record [26] (receivables_build_h1_fy27): "Trade receivables increased to Rs 401.6 crore from Rs 309.2 crore" Source: https://www.financialexpress.com/market/stock-insights/meet-the-aerospace-stock-supplying-ge-siemens-and-rolls-royce-with-rs-3200-cr-in-deals/4379754/
27. Azad Engineering Ltd. record [27] (borrowings_mar_sep_2026): "Total borrowings 451.6 557.0" Source: https://www.financialexpress.com/market/stock-insights/meet-the-aerospace-stock-supplying-ge-siemens-and-rolls-royce-with-rs-3200-cr-in-deals/4379754/
28. Azad Engineering Ltd. record [28] (qualified_parts_processes): "It has more than 1,700 qualified parts and components and over 45 qualified manufacturing processes." Source: https://www.financialexpress.com/market/stock-insights/meet-the-aerospace-stock-supplying-ge-siemens-and-rolls-royce-with-rs-3200-cr-in-deals/4379754/
29. Azad Engineering Ltd. record [29] (qualification_duration): "This process can take 30-48 months, creating a significant entry barrier" Source: https://www.financialexpress.com/market/stock-insights/meet-the-aerospace-stock-supplying-ge-siemens-and-rolls-royce-with-rs-3200-cr-in-deals/4379754/
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31. Azad Engineering Ltd. record [31] (export_share_fy25): "Approximately 92% export revenue (FY25)" Source: https://exencialrp.substack.com/p/azad-engineering-ltd
32. Azad Engineering Ltd. record [32] (receivable_days_fy24_fy25): "FY24 increased to 142 days, and FY25 further increased to 158 days" Source: https://exencialrp.substack.com/p/azad-engineering-ltd
33. Azad Engineering Ltd. record [33] (mhi_ltcpa_term): "signed a Long-Term Contract & Price Agreement for 8 years term with Mitsubishi Heavy Industries Ltd, Japan (MHI)" Source: https://www.icicidirect.com/research/equity/trending-news/azad-engineering-wins-long-term-contract-from-mitsubishi-heavy-industries

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36. Azad Engineering Ltd. record [36] (run_rate_target_fy28): "The company targets an annual revenue run-rate above Rs 13,000 million by the end of FY28." Source: https://insights.dsij.in/markets/reports/report-details/azad-engineering-ltd/46123
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38. Azad Engineering Ltd. record [38] (wallet_share): "As of Q2 FY26, management noted that their wallet share across customers in energy, aerospace, defense, and oil and gas is approximately 1-1.5%" Source: https://investorsstack.substack.com/p/azad-engineering
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40. Azad Engineering Ltd. record [40] (qualification_months_equitybypiyush): "30–48 months of unpaid process proving per part" Source: https://equitybypiyush.substack.com/p/azad-engineering
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42. Azad Engineering Ltd. record [42] (pcc_wyman_gordon_deal): "In May 1999, Precision Castparts Corporation agreed to pay $721 million for Wyman-Gordon, while also assuming $104 million in debt." Source: https://en.wikipedia.org/wiki/Wyman-Gordon
43. Azad Engineering Ltd. record [43] (pcc_special_metals_deal): "In 2006, Special Metals was acquired by Precision Castparts Corp." Source: https://en.wikipedia.org/wiki/Special_Metals
44. Azad Engineering Ltd. record [44] (sifco_revenue_2021): "Revenue US$ 100 million (2021)" Source: https://en.wikipedia.org/wiki/SIFCO_Industries
45. Azad Engineering Ltd. record [45] (sifco_operating_income_2021): "Operating income - US$ 1.1 million (2021)" Source: https://en.wikipedia.org/wiki/SIFCO_Industries
46. Azad Engineering Ltd. record [46] (sifco_customer_concentration_2016): "In 2016, Rolls-Royce accounted for 11% of SIFCO's sales and United Technologies Corporation accounted for 10% of SIFCO's sales." Source: https://en.wikipedia.org/wiki/SIFCO_Industries
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48. Not located [48] (segment_profit_by_vertical): no source found after searches including "Azad Engineering segment-wise profit EBIT energy aerospace defense FY26". Not used as evidence.
49. Not located [49] (per_part_margin_or_win_rate): no source found after searches including "Azad Engineering win rate RFQ order conversion per part margin disclosure". Not used as evidence.
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This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

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